

demand, for example, if investment picks up in India, there would be an upside risk for India's growth forecast. But now, we have lowered it.

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You also mentioned recently at the spring meetings that private investment remains a concern. What are the key bottlenecks?

Private investment itself as a share of GDP is compared reasonably favourably with the other emerging markets, but where it's falling short is investment in things like equipment and machinery, important for productivity. That's not picking up in India.

There are significant areas where reforms could be deepened. For instance, we've talked about this in the past, that India is one country where there's been a significant amount of trade barriers, both tariffs and non-tariff barriers that could be alleviated to provide an impetus for investment.

At the same time, you could think in terms of what needs to be done on labour codes, because if you want to compete with China, firms in India need to be able to scale up, and that's not possible with the kind of labour force we have right now—the impetus to infrastructure needs to continue.

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Could India's deregulation attempt help it emerge as a beneficiary of the ongoing India-China trade tensions?

We've talked about the fact that some of the reforms we need are deep structural reforms, and that's important to deregulate the economy.

I think there are a few reforms which need to be done to get investment going on a more durable basis. And the three things that were pointed out (in our report) can be done quite soon, and then you have these other reforms which might take longer, but still, you need to begin on those.

All these are issues

barriers with China and the US increased.

Some countries like Vietnam have benefited from trade diversion. In that context, India can compete and take over the space which has been vacated by other countries.

But for all that, we need to have these reforms to fill in the space, which is indicated, on a durable basis.

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Which sectors should India focus on to keep the momentum?

manufacturing and there are opportunities which are being presented, including the context of China plus one strategy. But for that, you again need to do these reforms.

Some of the reforms are universal, across services and manufacturing. Skilling the labour force is extremely important both for manufacturing and services.

It needs to both diversify and strengthen that (services), to begin with and then include greater manufacturing. If you look

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which have to be looked at more holistically. In the report that we published a month ago, we have laid out reforms that can be done in the short term and those that can be done over the medium term, because of capacity constraints. It's a constellation of reforms, but you have to prioritise, given capacity constraints.

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Does this present a real opportunity for China +1, or even China +5, for countries like Vietnam, Taiwan and India?

Yes, I think so. Over the past few years, we have observed notable adjustments in the trading patterns of economies like Asia, as bilateral trade

India has done well in services. Services exports have boomed. If you look at our balance of payments, the contribution of service exports has been impressive.

I think that should continue. And for that to continue, India needs to again invest in capital, to build skills.

Investing in human capital is important, whether it's for increasing our service exports now, or to address the challenges faced by AI (artificial intelligence). India needs to create eight to nine million jobs every year, depending on how many people are being added to the labour force. It must also continue making strides in

at the contribution of manufacturing to the economy, it stalled in India. It has reduced. You compare that with Vietnam, where the share of manufacturing in GDP has been rising. We need to catch up there.

I think the one point that I'd like to make is that companies need to see policy predictability. And that's where things like these quality control orders, which were introduced in India, go in the opposite direction.

The smaller firms need to be on good footing to compete, both domestically and internationally. And so, policy predictability is important. **BT**

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